allowance for conversion rights—and the existence of stock-purchase warrants—can reduce the apparent earnings by half, or more. We shall present examples of a really significant dilution factor below (page 411). (The financial services are not always consistent in their allowance for the dilution factor in their reporting and analyses.)[*]

Let us turn now to the matter of "special charges." This figure of $18,800,000, or 88 cents per share, deducted in the fourth quarter, is not unimportant. Is it to be ignored entirely, or fully recognized as an earnings reduction, or partly recognized and partly ignored? The alert investor might ask himself also how does it happen that there was a virtual epidemic of such special charge-offs appearing after the close of 1970, but not in previous years? Could there possibly have been some fine Italian hands[†] at work with the accounting—but always, of course, within the limits of the permissible? When we look closely we may find that such losses, charged off before they actually occur, can be charmed away, as it were, with no unhappy effect on either past or future "primary earnings." In some extreme cases they might be availed of to make subsequent earnings appear nearly twice as large as in reality—by a more or less prestidigitous treatment of the tax credit involved.

In dealing with ALCOA's special charges, the first thing to establish is how they arose. The footnotes are specific enough. The deductions came from four sources, viz.:

1. Management's estimate of the anticipated costs of closing down the manufactured products division.
2. Ditto for closing down ALCOA Castings Co.'s plants.
3. Ditto for losses in phasing out ALCOA Credit Co.
4. Also, estimated costs of $5.3 million associated with completion of the contract for a "curtain wall."

All of these items are related to future costs and losses. It is easy to say that they are not part of the "regular operating results" of 1970—but if so, where do they belong? Are they so "extraordinary and nonrecurring" as to belong nowhere? A widespread enterprise such as ALCOA, doing a $1.5 billion business annually, must have a lot of divisions, departments,